

CREDIT & DEBT BUILDING CREDIT

What Is a Credit Score? Definition, Factors, and Ways to Raise It

By THE INVESTOPEDIA TEAM Updated September 20, 2024Reviewed by ERIKA RASURE

Part of the Series
Debt Management Guide



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DEFINITION:

A credit score is three-digit number that represents a person's creditworthiness.



What Is a Credit Score?

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approved for loans and better rates. ^[1]

A credit score is based on your credit history, which includes information like the number of accounts, total debt levels, repayment history, and other factors. Lenders use credit scores to evaluate your creditworthiness or the likelihood that you will repay loans in a timely manner.

The U.S. has three major credit bureaus: Equifax, Experian, and TransUnion. This trio dominates the market for collecting, analyzing, and disbursing consumer information in the credit markets.

KEY TAKEAWAYS

- A credit score is a number that depicts a consumer's [creditworthiness](#). FICO scores range from 300 to 850.
- Factors used to calculate your credit score include repayment history, types of loans, length of credit history, debt utilization, and whether you've applied for new accounts.
- A credit score plays a key role in a lender's decision to offer credit and for what terms.
- The three main U.S. credit bureaus (Equifax, Experian, and TransUnion) may each calculate your FICO score differently.
- If your credit score has been damaged by inaccurate information on your credit report, one of the [best credit repair companies](#) can file disputes to get it removed on your behalf.

The credit score model was created by FICO and is used by financial institutions. The [FICO Score](#) is the most common.

Several factors go into calculating your credit score, including repayment history, debt utilization, and any new account openings. ^[3]

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Lenders use your credit score to determine whether to approve you for [products like mortgages](#), personal loans, and credit cards and what interest rates you will pay.

Note

Prospective employers may also check it to see whether you're a reliable person. Service providers and utility companies may check it to decide whether you are required to make a deposit.

How Credit Scores Work

A credit score can significantly affect your financial life. It [plays a key role in a lender's decision](#) to offer you credit. Lenders are more likely to approve you for loans when you have a higher credit score and are more likely to decline your loan applications when you have lower scores. You can also get better interest rates when you have a higher credit score, which can save you money in the long term.

Conversely, a credit score of 700 lenders and may result in a low considered excellent. Every creditor has its own criteria for lending. Here categorized. ^[4]

- **Excellent:** 800–850

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- **Fair:** 580–669
- **Poor:** 300–579

Note

Your credit score also may determine the size of deposit required to get a smartphone, cable service, or utilities, or to rent an apartment.

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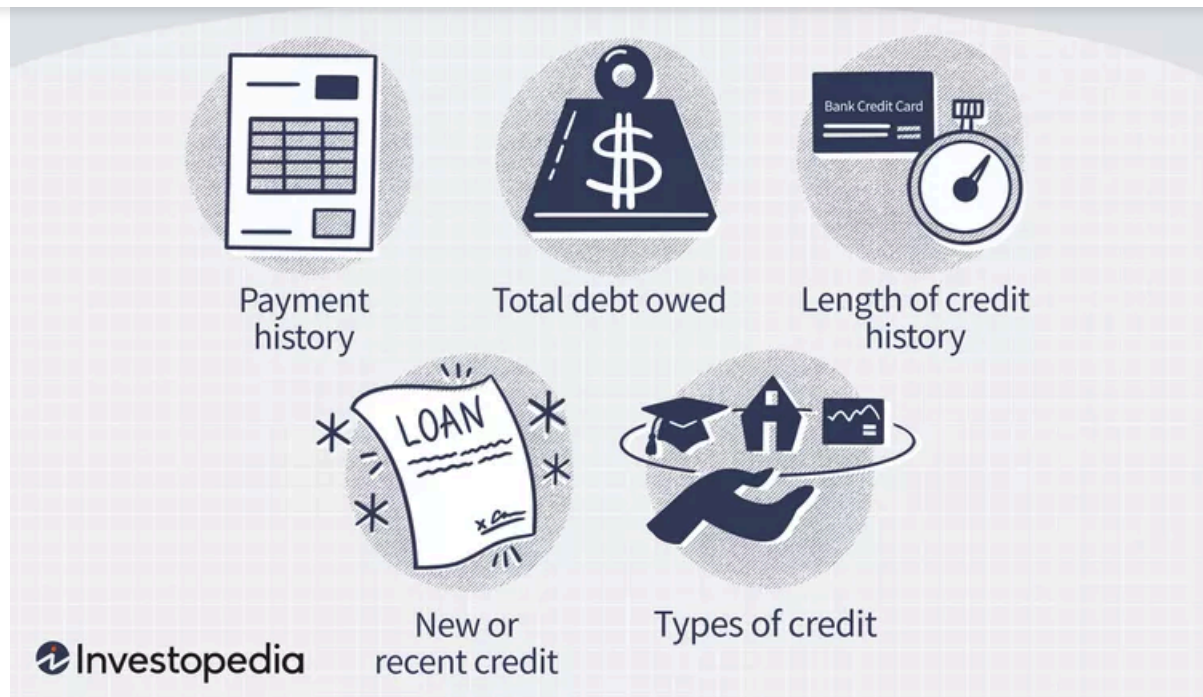
How Your Credit Score Is C

The three major credit reporting
(TransUnion) report, update, and

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1. Payment history (35%)
2. Amounts owed (30%)
3. Length of credit history (15%)
4. Types of credit (10%)
5. New credit (10%)

- **Payment history:** Your payment history includes whether you've paid your bills on time. It takes into account how many late payments you've had and how late they were.
- **Amounts owed:** Amounts owed is the percentage of credit you've used compared to the credit available to you, which is known as [credit utilization](#).
- **Length of credit history:** Longer credit histories are considered less risky, as there is more data to determine payment history.
- **Credit mix:** A variety of credit types shows lenders you can manage various types of credit. It can include installment credit, such as car loans or mortgage loans, and revolving credit, such as credit cards.
- **New credit:** Lenders view new credit as a potential sign you may be desperate for credit. Too many recent applications for credit can negatively affect your credit score.



Ellen Lindner / Investopedia

ADVISOR INSIGHT

Kathryn Hauer, CFP, Enrolled Agent

Wilson David Investment Advisors, Aiken, S.C.

If you have many credit cards and want to close some that you do not use, closing credit cards can indeed lower your score.

Instead of closing accounts, gather up the cards you don't use. Keep them in a safe place in separate, labeled envelopes. Go online to access and check each of your cards. For each, ensure that there is no balance and that your address, email address, and phone number are up to date. Also, make sure that you don't have autopay set up on any of them, and where you can have alerts, make sure you have them. Put your phone in there. Make it a point to check each card. If any activity occurs on them, since you don't use them, make yourself a reminder to check them.

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VantageScore

VantageScore is a consumer [credit rating](#) product developed by the Equifax, Experian, and TransUnion credit bureaus as an alternative to the FICO Score. ^[5]

FICO creates a single bureau-specific score for each of the three credit bureaus, using only information from that bureau. As a result, the FICO is actually three scores, not one, and they can vary slightly as each bureau will have different calculation methods. A VantageScore is a single, tri-bureau score combining information from all three credit bureaus and used by each of them in the same way. ^[5]

Note

FICO score is the [most popular credit score](#), used by about 90% of lenders. ^[6]

How to Improve Your Credit Score

When information is updated on a borrower's credit report, their credit score changes and can rise or fall based on new information. Here are some ways that you can [improve your credit score](#):

- **Pay your bills on time:** Six months of on-time payments can make a noticeable difference in your credit score.
- **Increase your credit line:** If you're offered a credit line increase, it's worth considering. If you're granted an increase in your credit limit, you can use the extra credit to spend this amount to maintain a low credit utilization ratio, which helps to pay down your debt.
- **Don't close a credit card account:** Closing a credit card account is best to stop using it instead of letting it go unused. If you close the account, your credit score may drop because the age and credit limit, it can hurt your credit score if you close the account.

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and the three credit agencies on your behalf, in exchange for a monthly fee.

- **Correct any errors on your credit report:** You are entitled to one free credit report per year from each of the main credit bureaus. You can get your report through AnnualCreditReport.com. You can also hire a monitoring service to help keep your information secure.

What is a Good Credit Score to Have?

What constitutes a good credit score is ultimately determined by the lenders. Ranges vary depending on the credit scoring model. Generally, credit scores from 580 to 669 are considered fair; 670 to 739 are considered good; 740 to 799 are considered very good; and 800 and higher are considered excellent. ^[4]

Who Calculates Credit Scores?

There are three major credit bureaus in the United States: Equifax, Experian, and TransUnion. They each calculate your FICO score in different ways using the same information. Credit bureaus collect, analyze, and disburse information about consumers in the credit markets.

How Can I Raise My Credit Score Quickly?

To raise your credit score quickly, you can enroll in a service that includes other payment information, such as your rent and utilities payments, not typically included in your credit score. If you have a good track record with these kinds of bills, enrolling in a service like Experian Boost could raise your credit score quickly. ^[7]

The Bottom Line

Your credit score is a number that reflects your creditworthiness and can impact your financial life. If you have a good credit score, you can qualify for lower interest rates on loans and to get better terms than if your credit score is lower. Understanding what goes into your credit score is key to improving it.

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1 Credit Score

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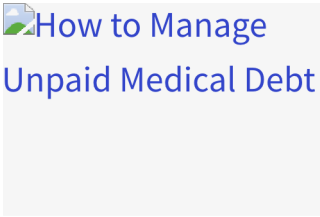
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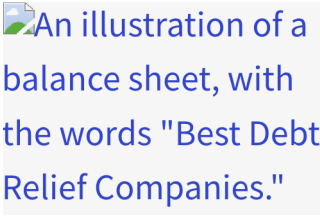
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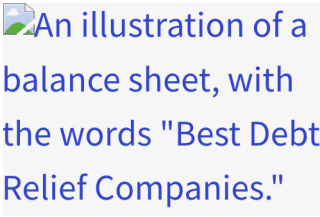
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Best Debt Relief Companies for April 2025

By Brendan Harkness



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Best Debt Relief Companies for April 2025

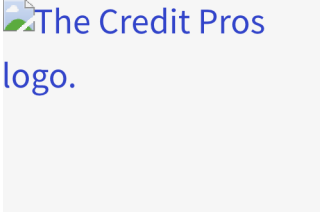
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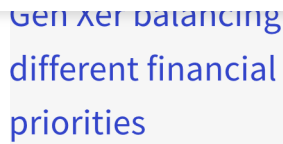


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The Credit Pros

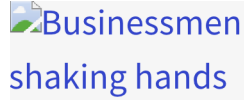
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An illustration of a person balancing different financial priorities.

Maximizing Your Money: How Gen X Should Prioritize Debt, Savings, and Investments

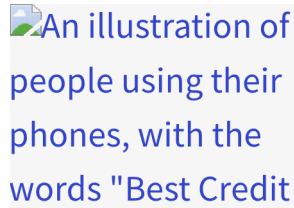
By Meagan Drew

An illustration of two businessmen shaking hands.

WEALTH MANAGEMENT

Receiver: Definition, Legal Role, and Responsibilities

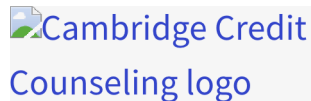
By Will Kenton

An illustration of people using their phones, with the words "Best Credit" overlaid.

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Best Credit Counseling Services for April 2025

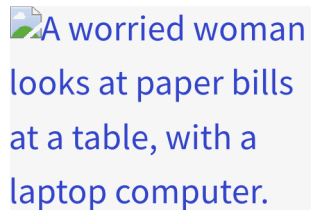
By Brendan Harkness

The Cambridge Credit Counseling logo.

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Cambridge Credit Counseling Review

By Kat Tretina

An illustration of a worried woman looking at paper bills at a table, with a laptop computer.

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How to Get Debt Relief

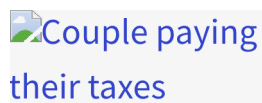
By Rajeev Dhir

An illustration of a person in a state of bankruptcy.

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By Christian

An illustration of a couple paying their taxes.

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score meter and
toolbox for the Best
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 A woman uses a
laptop.

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